

The Insider's Guide To Negotiating Your Tech Comp

Negotiate And Earn More



Negotiation has enormous impact

... but we're lousy at it 🙊

Me: Can you buy me a ...

My father: No



The negotiations were short



Objectives

-  Understand **if and when to negotiate**
-  **Create leverage** for negotiations
-  Deconstruct the best ways to **improve your TC**
-  Share **concrete tactics and phrases** to employ

I'm Rahul



- My goal: **ensure you are highly (and fairly) paid**
- Compensation went from \$110K/year to \$830K/year 💰
- Went through several rounds of negotiations with 10+ companies
- Directly coached dozens of engineers through negotiation





- You want to be paid more for the same work
 - You can tolerate some uncertainty

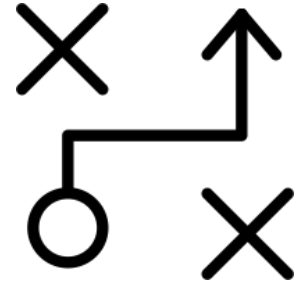
Principles



Planning

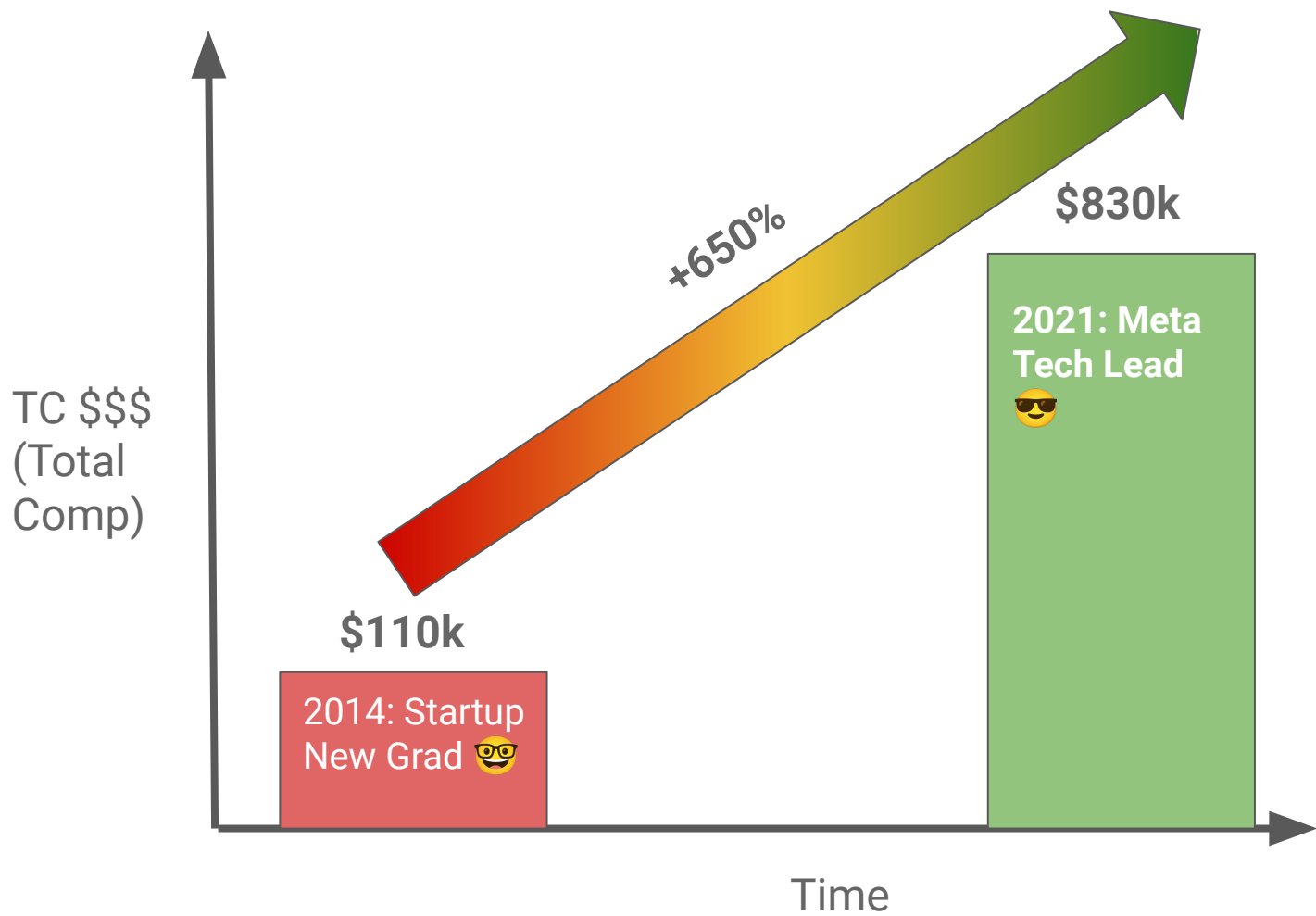


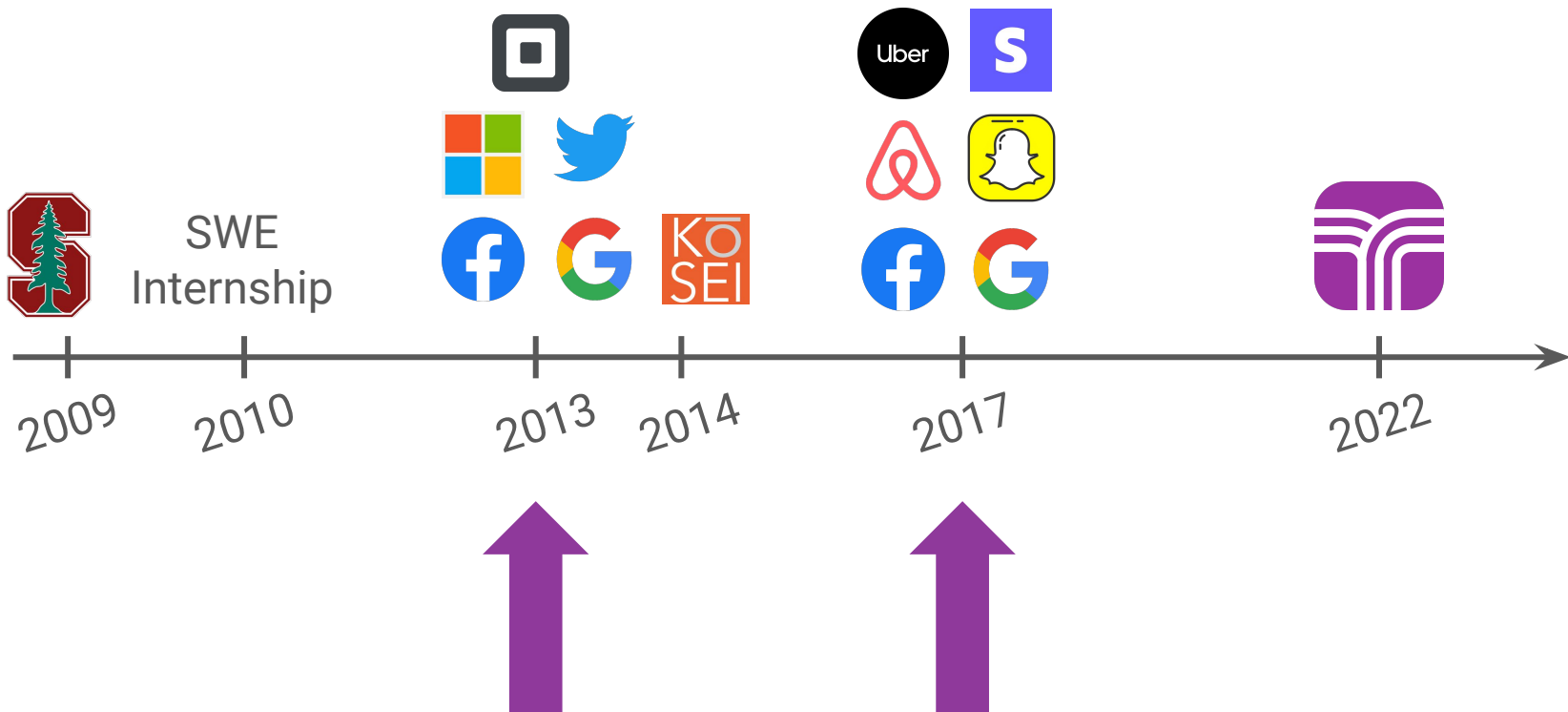
Tactics



Rahul's Negotiation Successes







Company	Salary	Equity (4 years)	Signing bonus	Annual bonus
Google	\$140K			
Airbnb	\$163.5K			
Uber	\$144K			
Stripe	\$155K			
Facebook	\$170K			
Snapchat	\$180K			

Company	Salary	Equity (4 years)	Signing bonus	Annual bonus
Google	\$140K	\$300K		
Airbnb	\$163.5K	\$420K		
Uber	\$144K	\$558K		
Stripe	\$155K	\$615K		
Facebook	\$170K	\$600K		
Snapchat	\$180K	\$1.0MM		

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Facebook	\$170K	\$600K	\$45K	
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Snapchat 	\$180K	\$1.0MM	\$100K	10%



Company	Year 1 Total Comp (TC)
Google 	\$256.0K
Airbnb 	\$278.5K
Uber 	\$319.5K
Stripe 	\$354.3K
Facebook 	\$390.5K
Snapchat 	\$548.0K



Company	Salary	Equity (4 years)	Signing bonus	Annual bonus
Google	\$140K	\$300K	\$20K	15%
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Facebook	\$170K	\$600K	\$45K	15%
Snapchat	\$180K	\$1.0MM	\$100K	10%

2017 (6 offers)

- **Snapchat:**

- Salary: \$160K → \$180K
- Equity: \$600K → \$1.0MM
- Signing bonus: \$10K → \$100K

- **Facebook:**

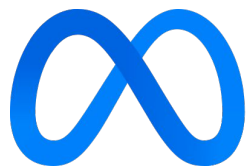
- Equity: \$325K → \$600K
- Signing bonus: \$30K → \$45K

Negotiation is extremely high leverage

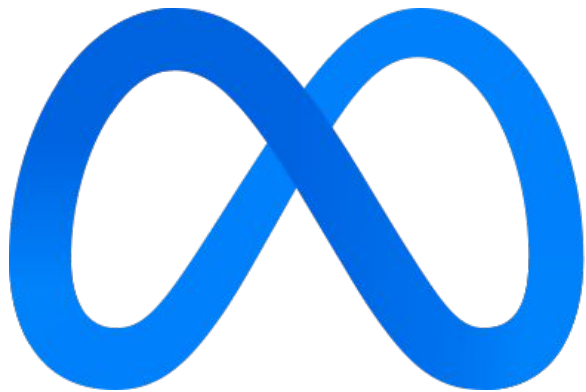
2013 (5 offers)

- **Twitter** went public in November 2013
- **Google:**
 - Signing bonus: \$50K → \$40K
 - Stock grant (over 4 years): \$250K → \$424K
- **Facebook:**
 - Signing bonus: \$75K → \$125K
- **Square** offer was not competitive
- **Microsoft** offer was not competitive





Recruiter insights



Misconceptions Around Negotiating



“Your offer will get rescinded if you negotiate”



“Negotiation makes you look cheap”



“Someone will get less if you get more”



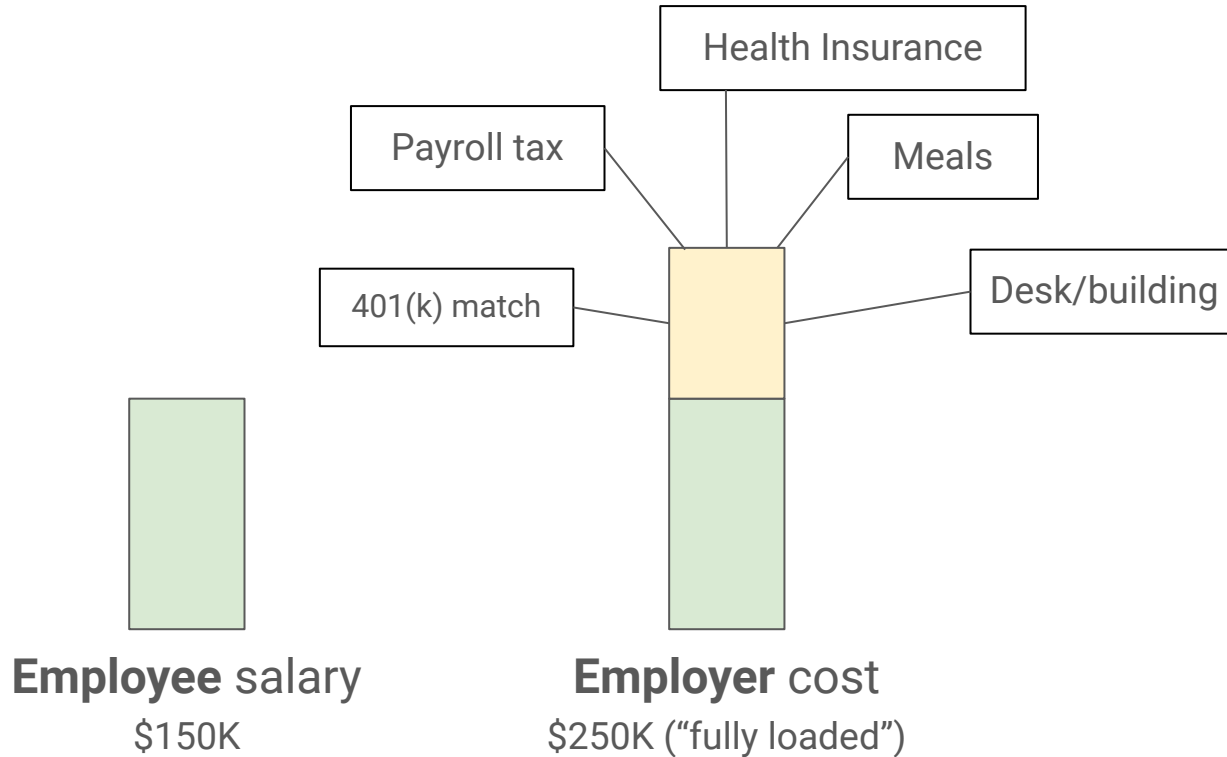
Should you negotiate?

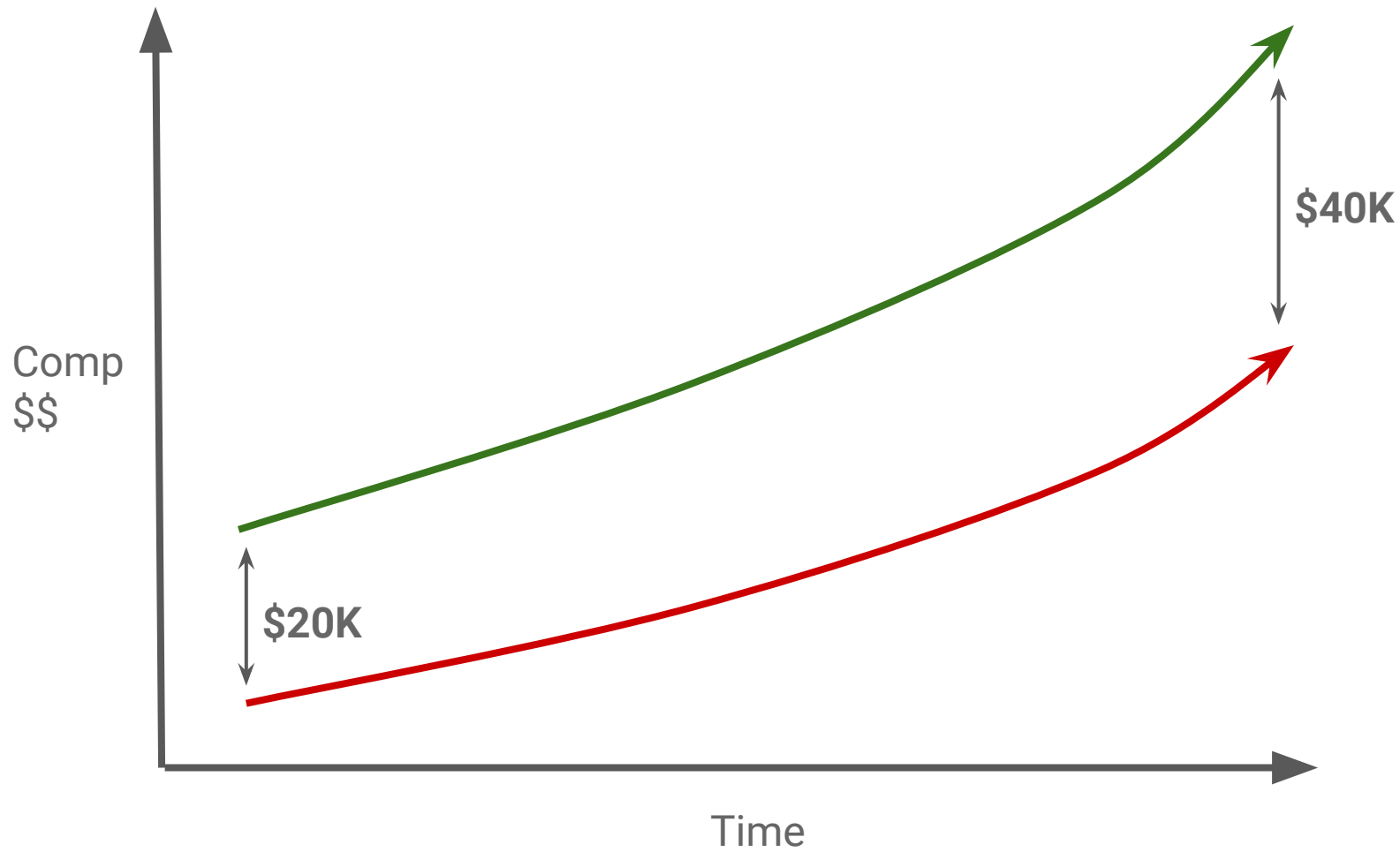


Why Negotiation Is Worthwhile



A few hours of time could be **life-changing** for you, but trivial for the company

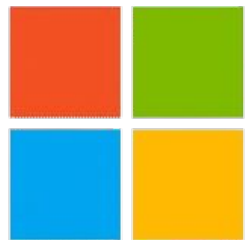




A photograph of Steve Ballmer, a middle-aged man with a bald head and blue eyes, wearing a dark suit jacket over a light pink shirt. He is gesturing with both hands, pointing his index fingers towards the camera. The background is dark with the letters 'WSJ' repeated in a light blue color.

Steve Ballmer

Net worth: \$120B

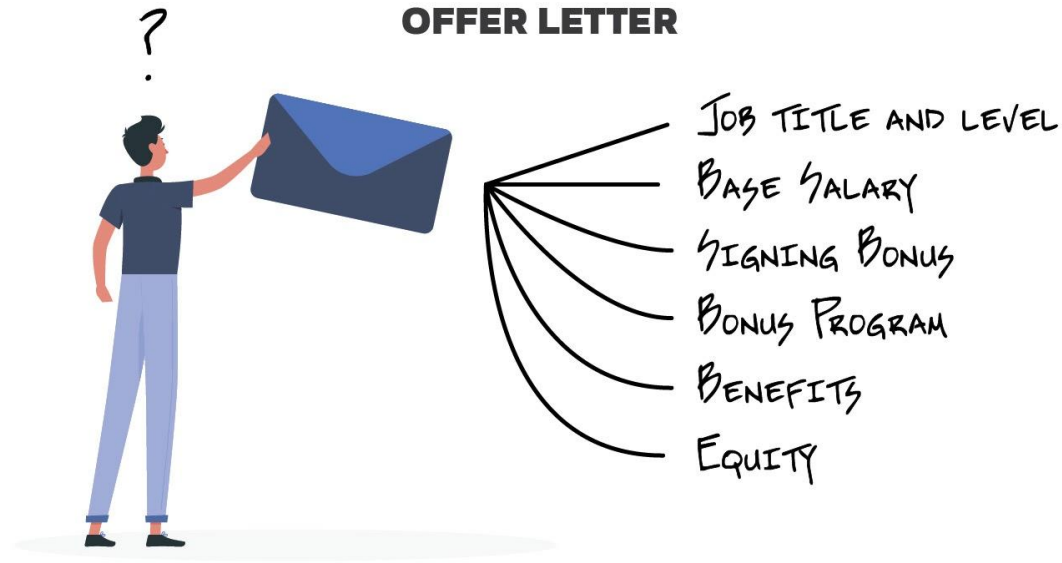


Microsoft



Core Principles Of Negotiation

Understand Negotiation Inputs



What makes up your TC
(total compensation) in tech?

Base salary

Equity (Stock)

Signing Bonus

Performance bonus

Catered meals

Free snacks

Equipment

L&D budget

Commute credit

Game room

Casual dress

Company outings

Base salary

Equity (Stock)

Signing Bonus

Performance bonus

401k matching

Paid Time Off (PTO)

Health Insurance

~~Fitness stipend~~

~~Catered meals~~

~~Free snacks~~

~~Equipment~~

~~L&D budget~~

~~Commute credit~~

~~Game room~~

~~Casual dress~~

~~Company outings~~

Base salary

Equity (Stock)

Signing Bonus

~~Performance bonus~~

~~401k matching~~

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~~Health Insurance~~

~~Fitness stipend~~

~~Catered meals~~

~~Free snacks~~

~~Equipment~~

~~L&D budget~~

~~Commute credit~~

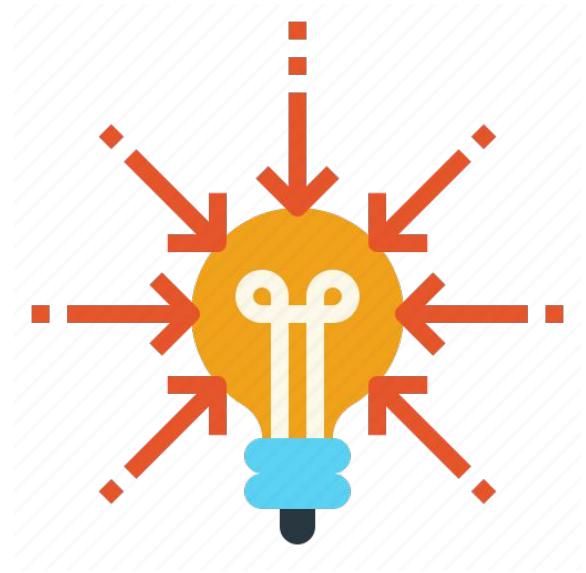
~~Game room~~

~~Casual dress~~

~~Company outings~~

What are the **most important** parts of TC?

- Salary
- Signing bonus
- Equity
- Annual bonus



Base salary

- The most common form of comp
- Paid out regularly
 - e.g. biweekly, monthly
- Consistent, stable, and well-understood



Signing bonus

- Money added as a sweetener to offers
- Can get quite high as it's not as banded as core comp
- Tied to your employment and prorated if you leave early



Performance bonus

- Paid out once or twice a year
- Amount is tied to your salary and level
- 2 multipliers
 - Personal performance
 - Company performance



Rahul's 2017 H2 Bonus



- Joined FB in late 2017
- Level multiplier: Senior Eng, 15%

Eligible Earnings		Bonus Target
62,115 USD	X	15%

Equity

Stock units (RSUs)

- Used by larger companies (both private and public)
- Shares regularly transferred to you as compensation

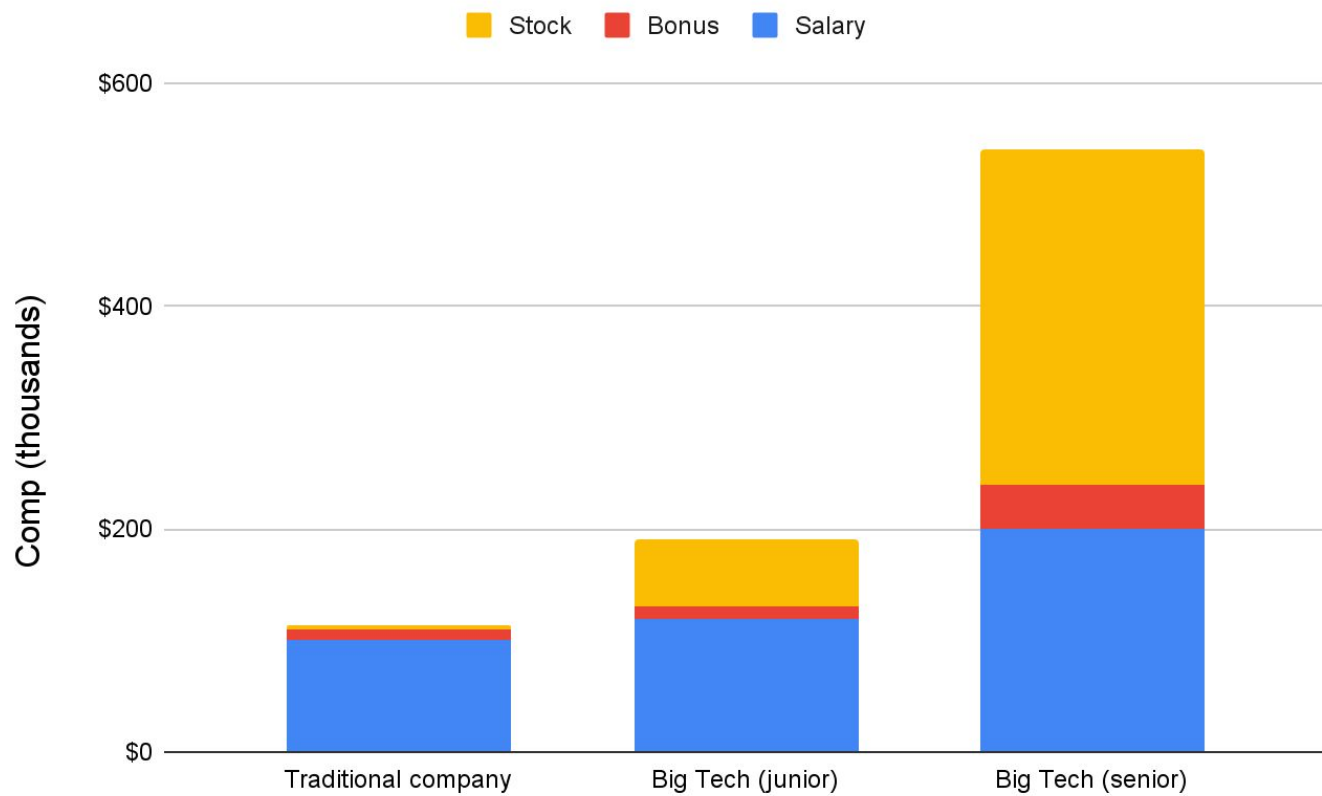


Options

- Used by startups
- Need to spend money to get shares
- Option to buy X shares at Y price

RSUs Example





**Negotiate the whole package,
not individual components**

Information Asymmetry



- Economically, companies want to pay as little as possible ▼
- Even if the offer is good, it's the minimum that the company thinks it needs to pay you



Engineer



2 data points

- Compare offer to prior job
- (Maybe) Compare offer with friend

Recruiter



200 data points

- Talks to candidates every week
- Access comp data across company
- (Likely) access comp data across the industry

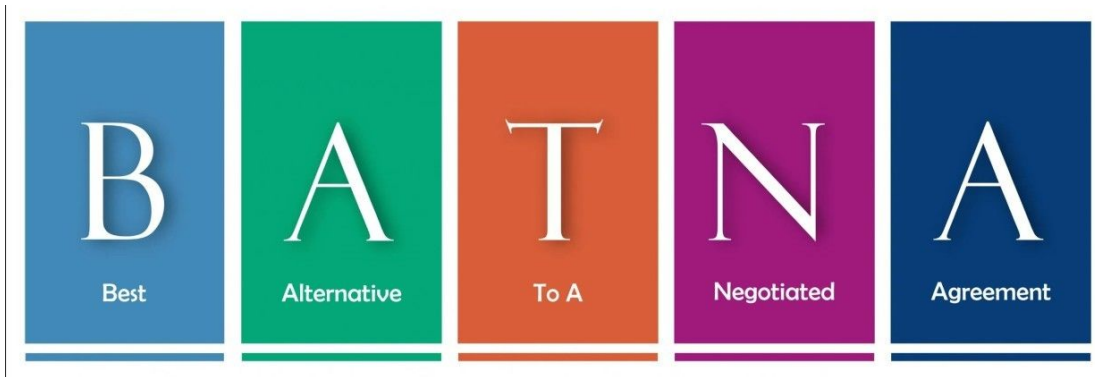
You don't get what you deserve,
you get what you ask for



Leverage



LEVERAGE



BATNA: How willing are you to walk away?

- If want something desperately, you're vulnerable
- You win by **not needing** to win

Laid off

Visa with 2 weeks left



Three job offers

Happily employed



Ingredients for leverage

- Time 
- Information 
- Options  



Raising venture capital...

- If you're rely on one investor too much, **you will get taken advantage of**
- If a VC sees others are interested, they become interested



When To Negotiate?



Low-leverage jobs



High-leverage jobs



Standard jobs



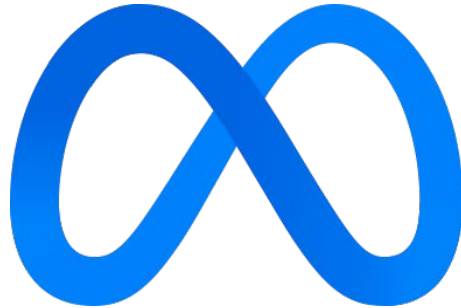
Bespoke (leadership) jobs



You can (and should) negotiate

When negotiation is ineffective

- Time-bound internships
- “Stepping stone” jobs, e.g. a research assistant
- **Test:** Has anyone ever negotiated their offer before?



When negotiation could hurt

- If you negotiate **after** accepting a job
- Could cause friction and/or reputational damage



How To Practice?



Why we're bad at negotiation

- Jobs 👍
 - Shared understanding and vulnerability
 - Goal is to make others **comfortable**

95%+ of our time

- Negotiations 😬
 - Minimal understanding or trust
 - Goal is to make you **uncomfortable**

1% of our time

Practice Makes Perfect

- Engineer: practices several times per **year**
- Recruiter: practices several times per **week**

Advice:

- Verbalize the dialog 
- Practice likely conversations 
- Keep things in writing 

Before The Offer

Don't Give A Number First



**Don't
Share!**

The #1 Rule: Don't Say A Number First

- Don't share your current salary
- Don't share your comp expectations
- No benefit to you sharing, but a lot to lose

What's Your **Number**?



Don't share your compensation first

UPDATED: March 14, 2024

Salary history bans

A running list of states and localities that have outlawed pay history questions

State and local governments are increasingly adopting laws and regulations that prohibit employers from requesting salary history information from job applicants.

The laws are aimed at ending the cycle of pay discrimination and some go further than merely banning pay history questions. A few also prohibit an employer from relying on an applicant's pay history to set compensation if discovered or volunteered; others prohibit an employer from taking disciplinary action against employees who discuss pay with coworkers.

Here, we track the states, cities and other jurisdictions that have passed such bans, and offer a brief description of each law's requirements, its effective date and a link to the original law.

Want to know when new salary history bans are enacted? Sign up for our newsletter

“I need to know your salary range”

“For now, I’m more concerned with understanding if this opportunity is a good fit.”

“We cannot move forward without a number”

“What are typical comp bands for this role?”



Henry Ford

What If I HAVE To Give A Number?



T&E - N 40V 1000000

Rebuttal #1: put a placeholder

Salary expectation: \$1

Rebuttal #2: collect data and share a range

- Check online tools/your network/Taro
- Salary Range Transparency Laws in some states

Time Type:

Full time

Primary Location:

New York New York United States

Primary Location Salary Range:

\$120,710.00 - \$181,070.00



Home

Working at Citi

Why Citi

Students & Gra

Primary Location:

New York New York United States

Primary Location Salary Range:

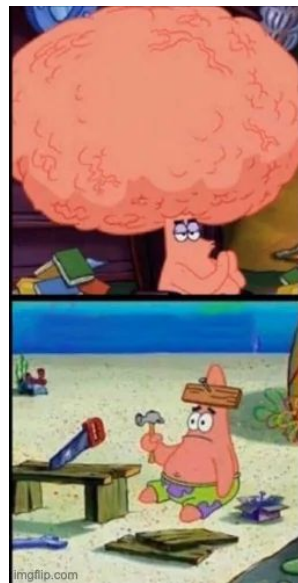
\$0.00 - \$2,000,000.00

Citi is an equal opportunity and affirmative action e

Qualified applicants will receive consideration witho

Rebuttal #3: interviewing is good practice

- Be agreeable during the comp discussion to get to the interview
- Interviewing is a repeatable skill



My
programming
experience
and knowledge

Me during
technical
interviews

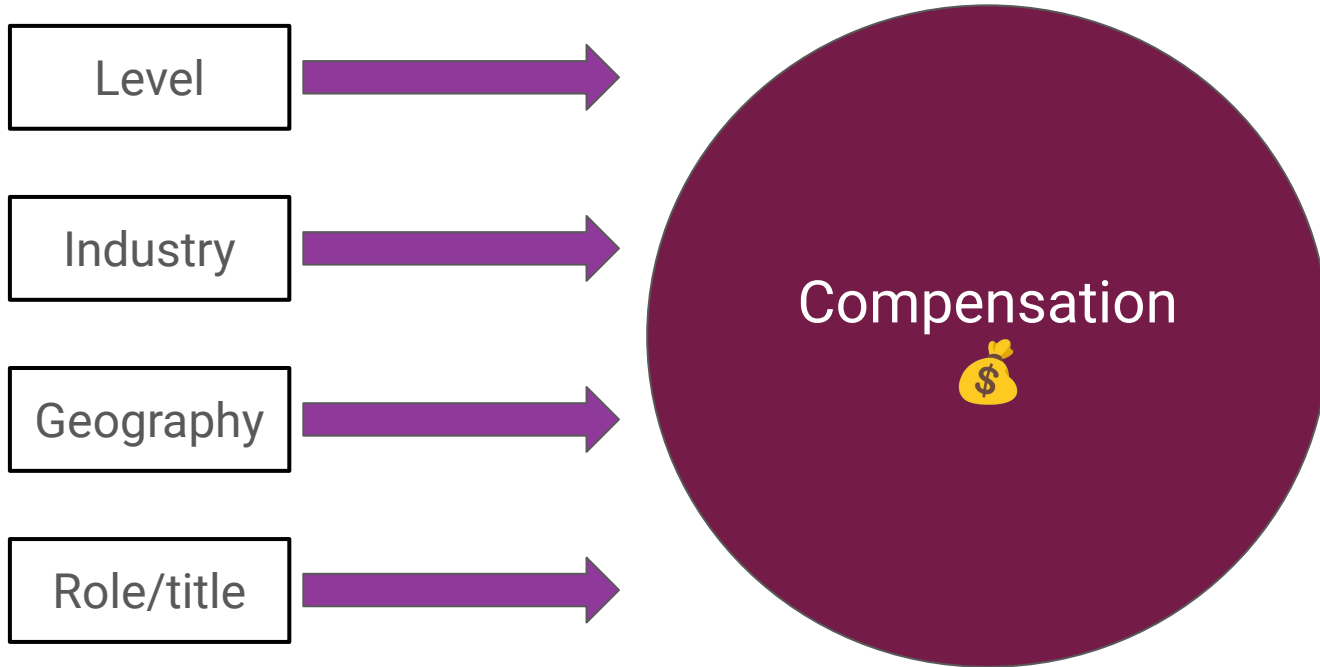
If you truly, **actually** must give a number:

- Compute your monthly spend: rent, healthcare, food, travel, etc
- Add a 20%+ buffer and share that number (don't forget taxes)
- Ideally, you already have a sense of the company's comp



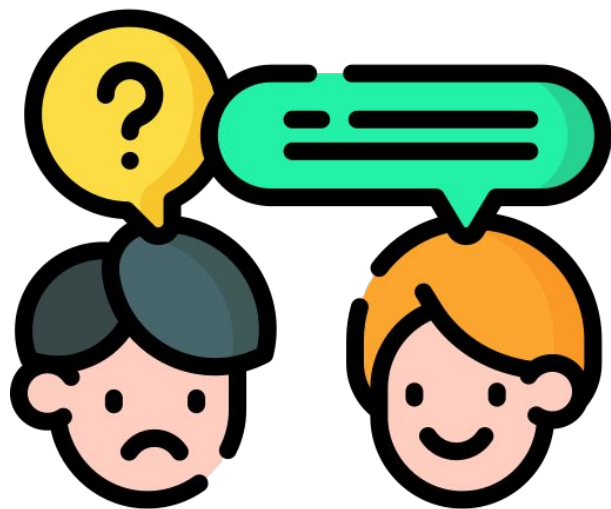
Determine Compensation Benchmarks





Ask friends (or people in Taro):

- No need to ask how much they make
- Ask about **compensation ranges**



Glassdoor

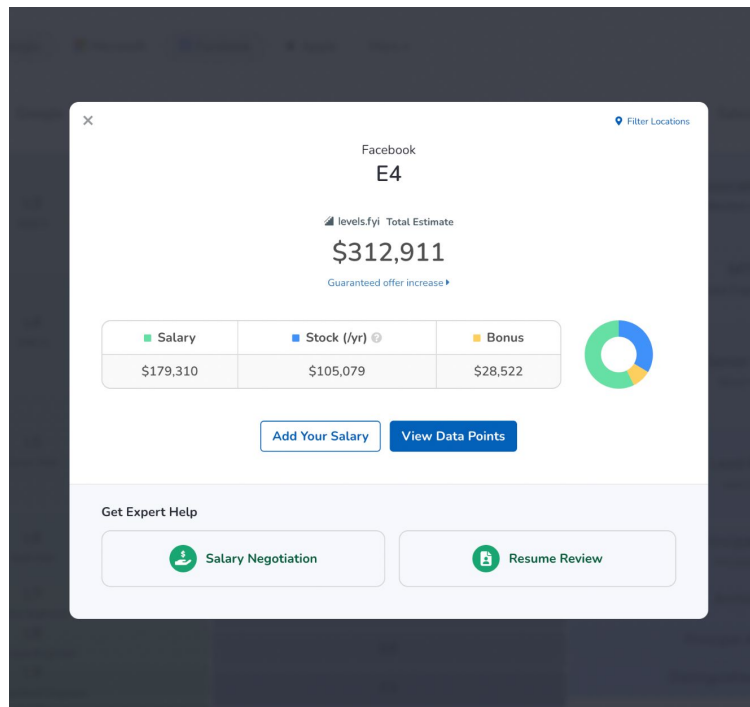
- Old(ish) company with lots of data
- Doesn't capture level/structure of comp for many companies



Job Title	Total Pay Base Additional
Software Engineer 26K Salaries submitted	\$227K-\$330K \$179K \$92K
Research Scientist 4K Salaries submitted	\$238K-\$324K \$183K \$90K

levels.fyi

- One of the best sources for tech compensation
- Reliable crowd-sourced data, broken into component pieces



h1bdata.com

- US Department of Labor requires companies to report salaries of H-1B employees
- Data is therefore correct for salary + title
 - Incomplete for other parts of comp

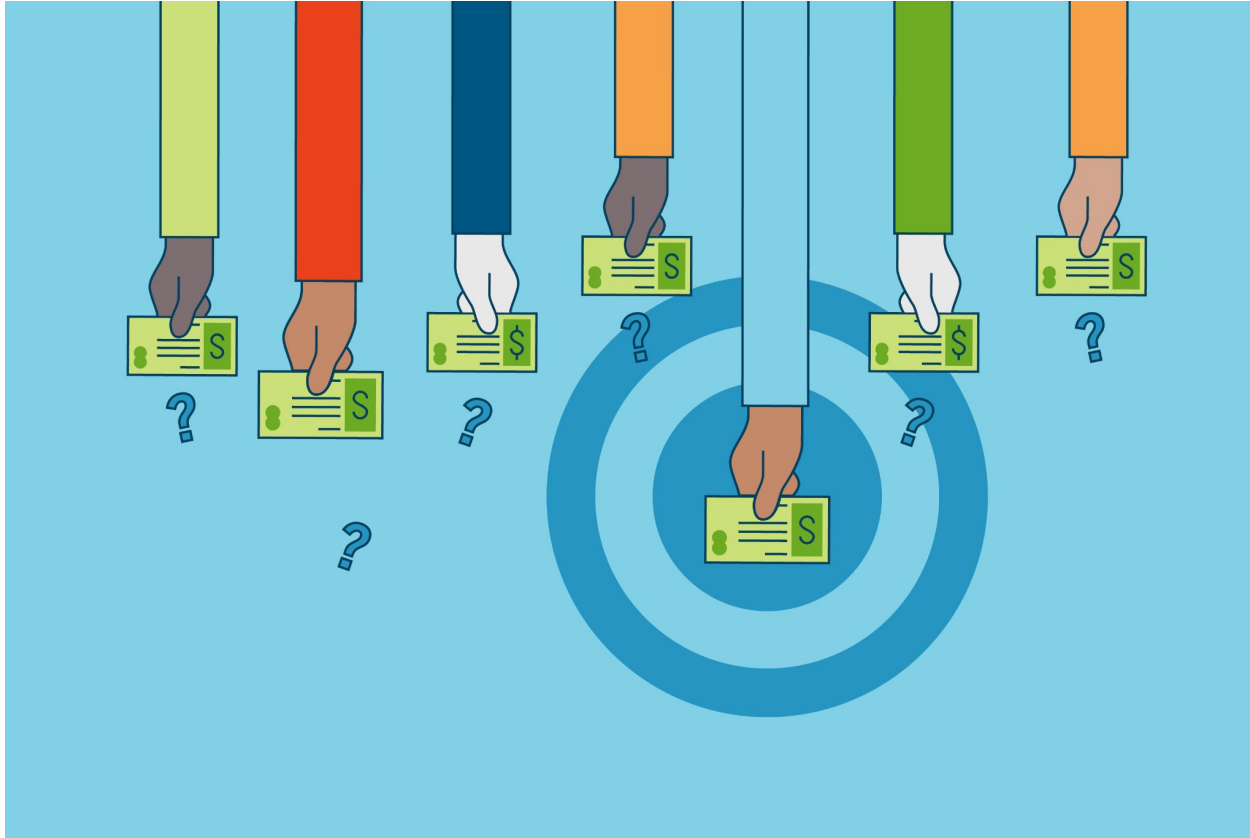
EMPLOYER ↕	JOB TITLE ↕	BASE SALARY ▼	LOCATION ↕
AIRBNB INC	DIRECTOR AIRQA AND INSURANCE PLATFORM	300,000	SAN FRANCISCO, CA
AIRBNB INC	SR. STAFF SOFTWARE ENGINEER	300,000	SAN FRANCISCO, CA
AIRBNB INC	DIRECTOR OF PLANNING AND PROGRAM MANAGEMENT	270,000	GIBSONTOWN, FL
AIRBNB INC	ENGINEERING MANAGER	262,974	SAN FRANCISCO, CA
AIRBNB INC	STAFF SOFTWARE ENGINEER	252,000	SAN FRANCISCO, CA
AIRBNB INC	LEAD COUNSEL	235,000	SAN FRANCISCO, CA

Other sources: pave.com,
comparably.com, salary.com

Goal is to not only get comp data, but
also which parts of the offer can be
adjusted



Get Other Offers

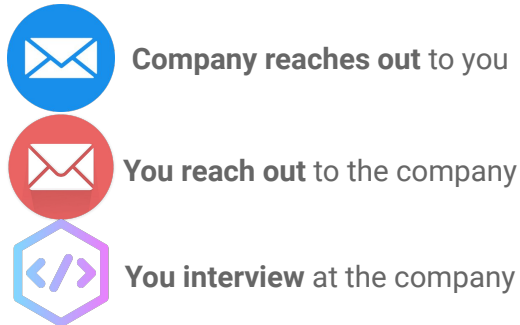
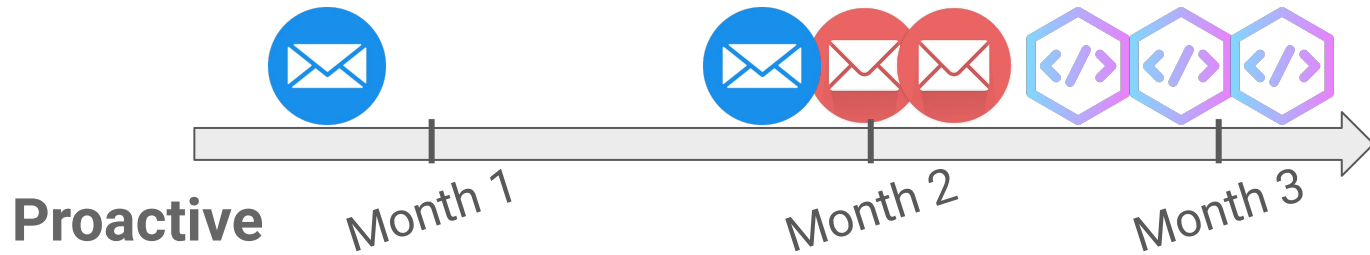
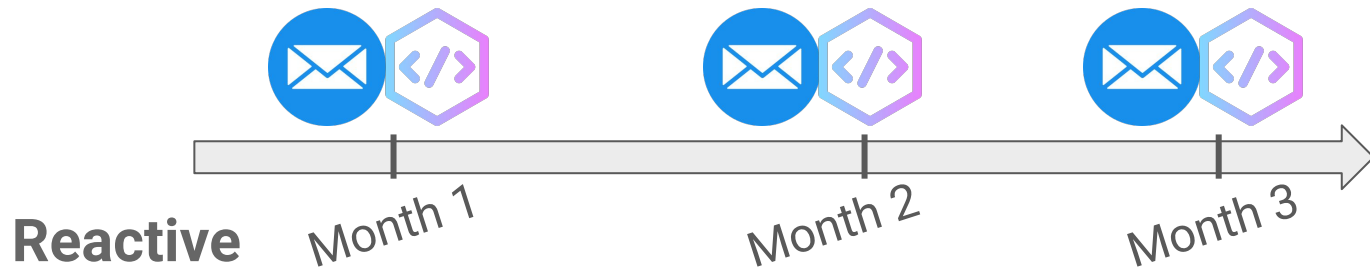


- Market data only gets you so far
- The best argument for why you deserve higher comp is to show market data
 - Prove the existence of higher comp

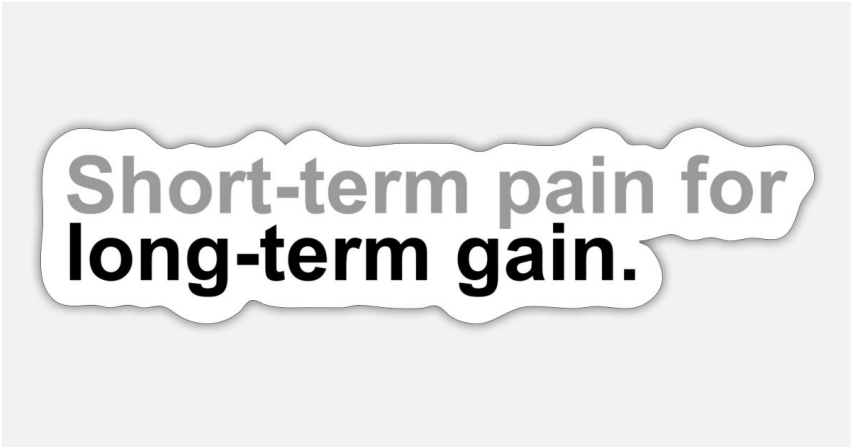
 **Market**

 **Skill**

 **Timing**



- Condense the pain of talking to companies
- Aim for similar stage companies
 - **Suboptimal:** A seed-stage startup and Google are not comparable
 - **Optimal:** Competitive companies, e.g. Snap/Meta or Google/OpenAI



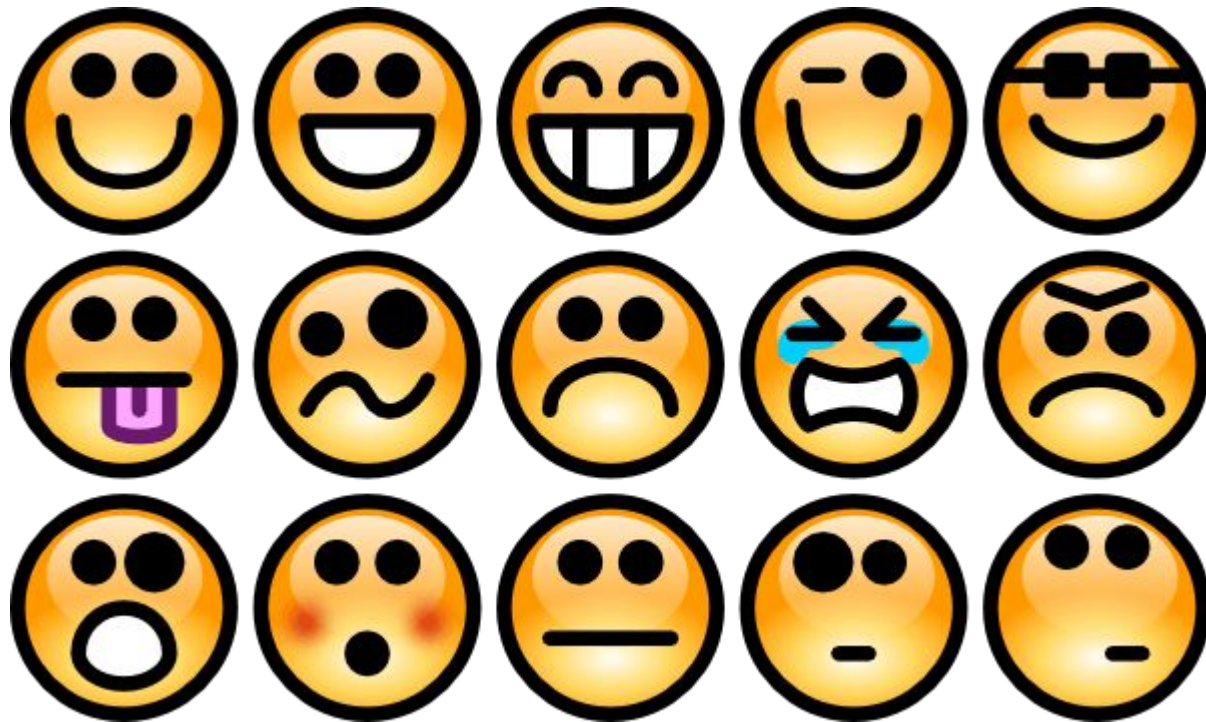
**Short-term pain for
long-term gain.**

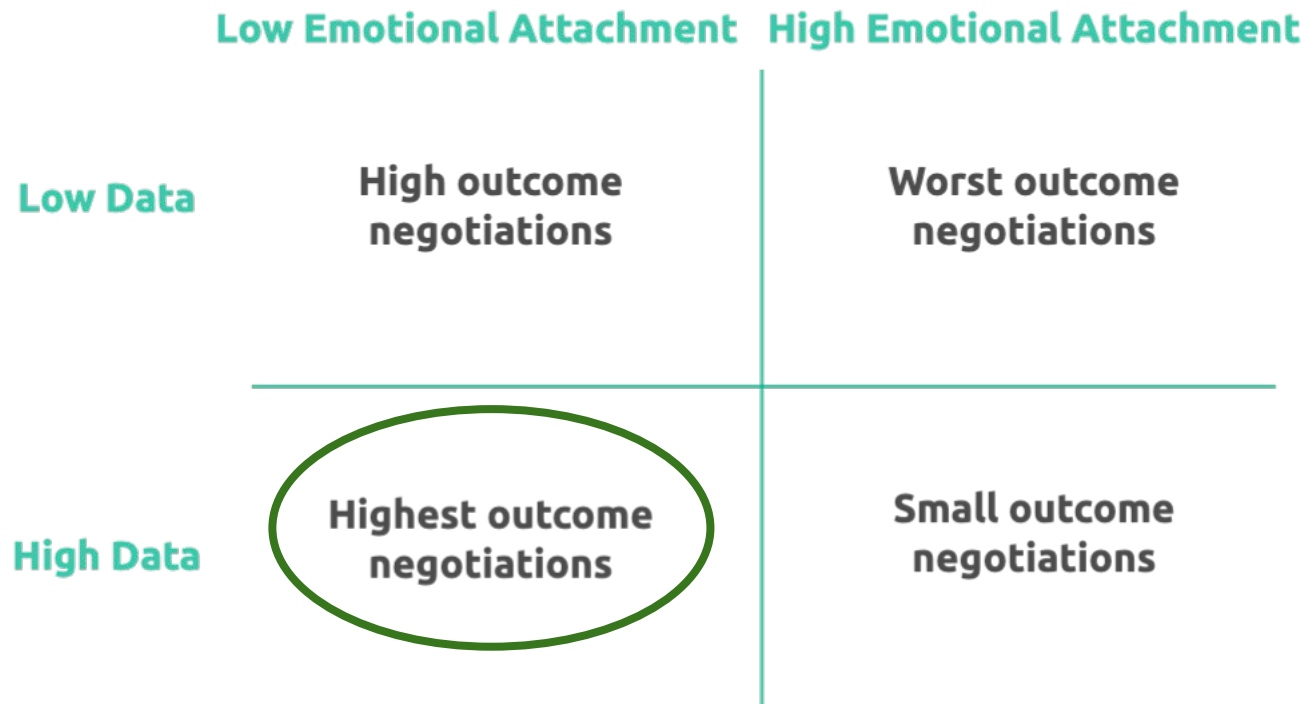
How to align multiple offers

- Negotiate interview dates
 - 1st round has more flexibility
 - Final round should be coordinated
- As soon as you have a verbal offer, tell the others



Don't Overshare





One of the most common mistakes:
over-sharing

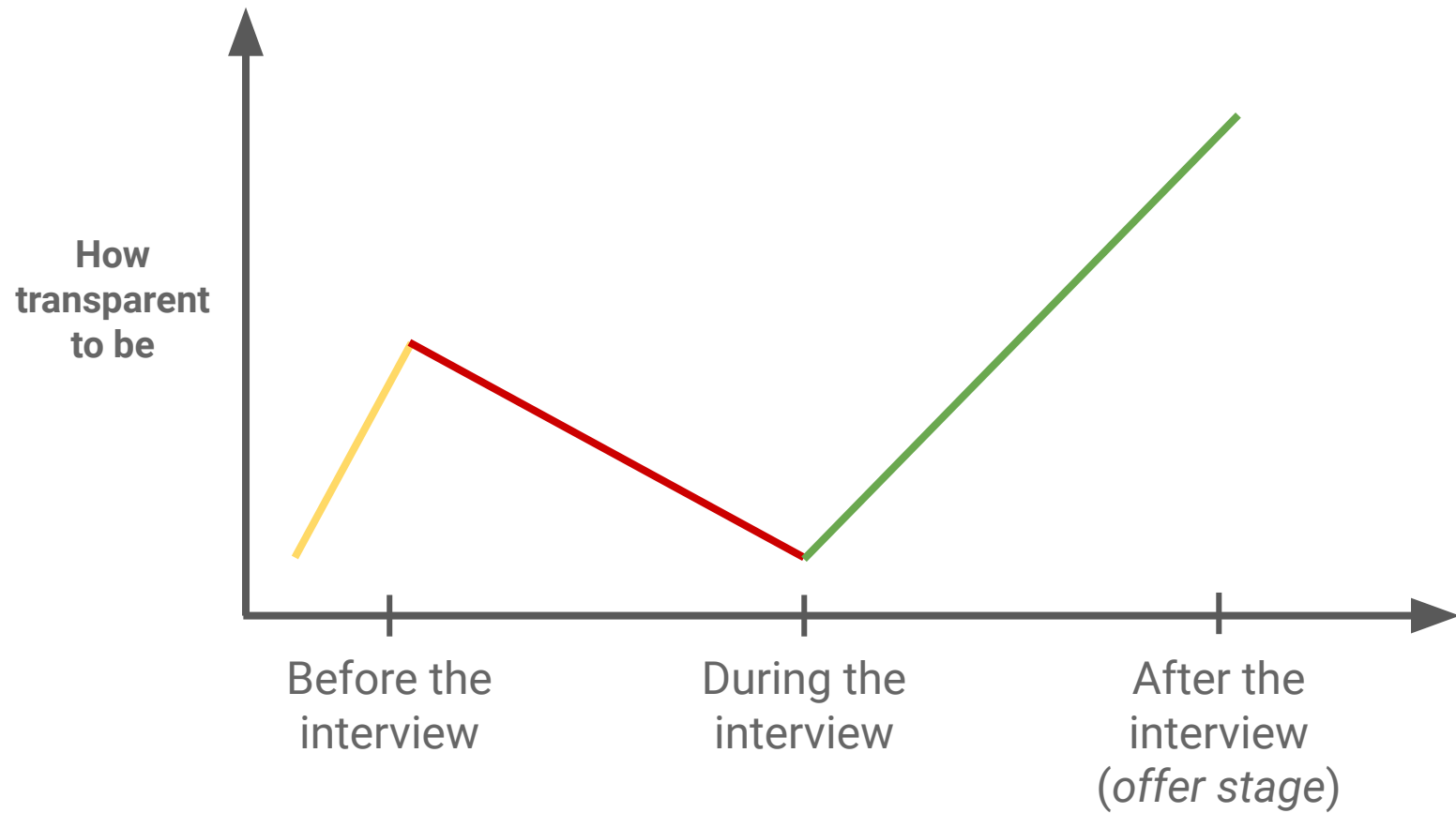
- Don't share that this company is your first choice
- Don't share which companies you're interviewing at



*“I’m really excited about your company,
but there are a few other options I’m
exploring.”*

“”

*“If anything changes on my end, I’ll let
you know. For now I’m eager to learn
more about your company.”*



Should I share my level?

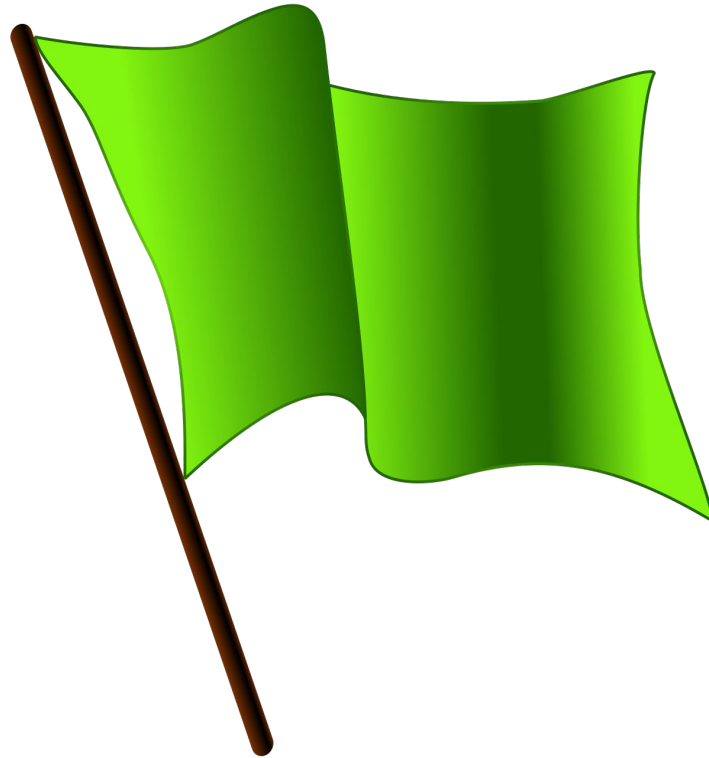
- Generally no (similar to comp)
- You may not be able to avoid revealing your target level
- Keep it ambiguous, talk about your goals



**Don't share information
which can hurt you**

After The Offer

Negotiation Starts Now



Key Insight Behind Negotiation

- Negotiate once you have a confirmed offer (ideally multiple offers)
- The company wants to hire you – they've invested time + \$\$ at this point



LEVERAGE

Negotiate when you have an offer

Ask to talk to the hiring manager

- Learn about the team and what you could work on
- **Get ammunition** to be used in negotiation

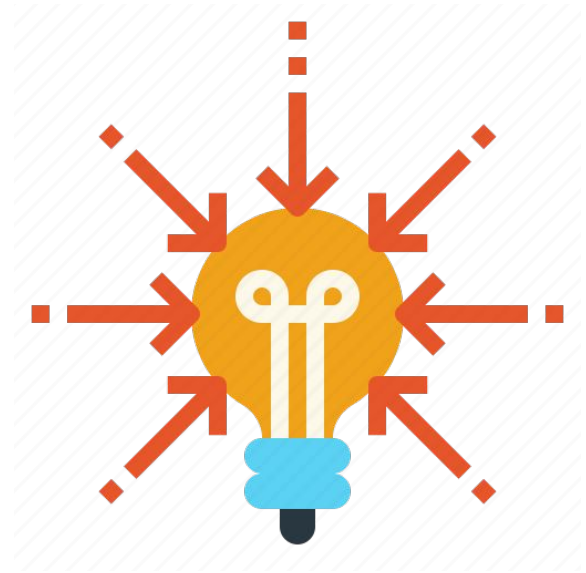


Determine Levers You Can Pull



What are the **most important** parts of TC?

- Salary
- Signing bonus
- Equity
- Annual bonus



Ask an open-ended question:

“Which parts of the offer are you most able to adjust?”



Salary 

Equity 

Bonus 

Hypothetical comp package:

\$100K salary/year

Single lever → not interesting 🤔

Salary



Hypothetical comp package:

\$100K salary/year, \$40K equity/year, \$20K signing bonus

Multiple levers → workable 🥰

Outcome: decrease salary, increase equity and bonus

Salary



Equity



Bonus

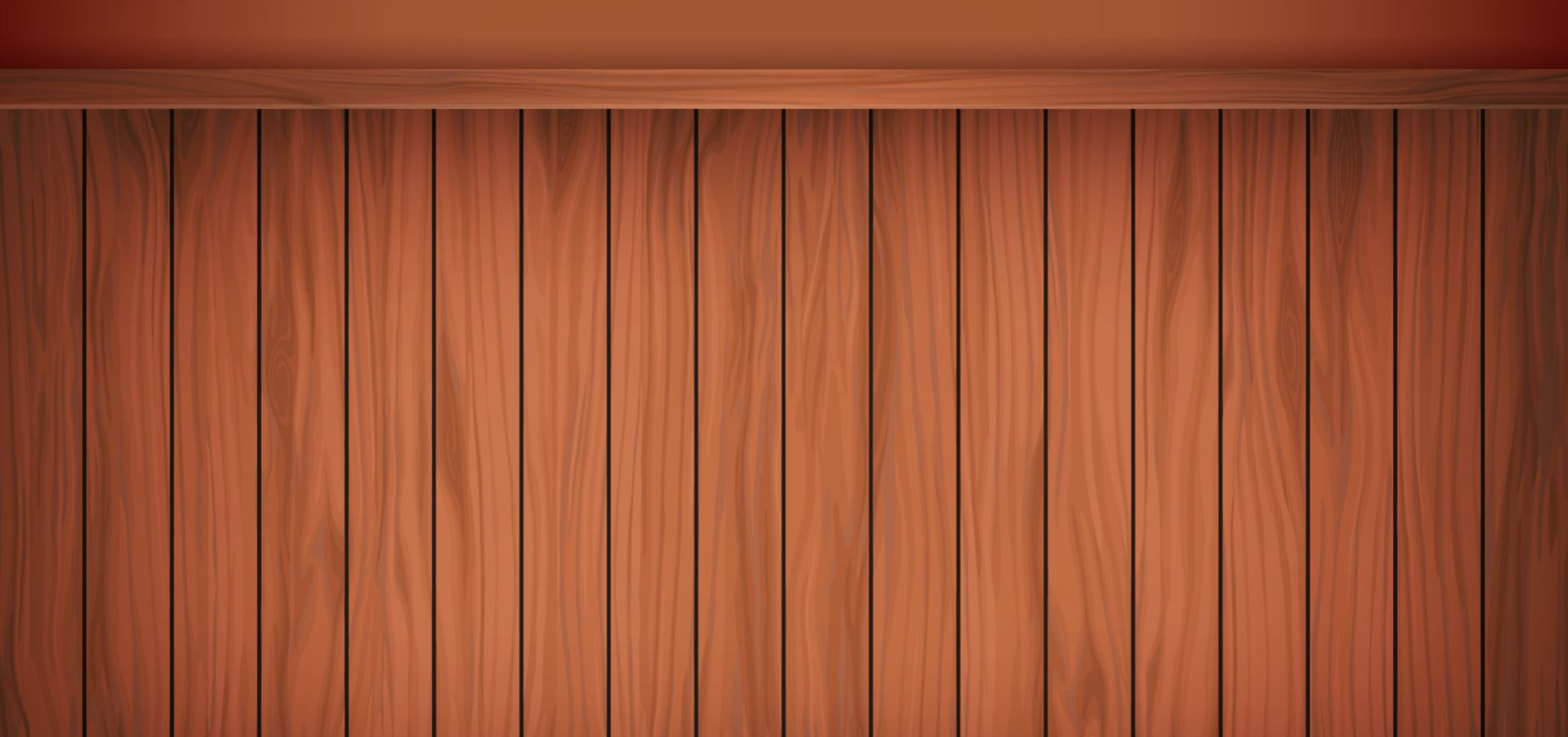


What if I only have one lever (salary)?

- Manufacture more!
- Invent other parameters on which you can negotiate
- For example:
 - Remote work
 - Title
 - Vacation days
 - Pending offers



What To Negotiate



Incentive alignment with the company

Unaligned

Aligned



Reducing the
“clawback period”
on the bonus

Doubling the
equity package

What can the recruiter do? **Ask them!**



401(k) match or perf
bonus



Salary or equity
adjustments

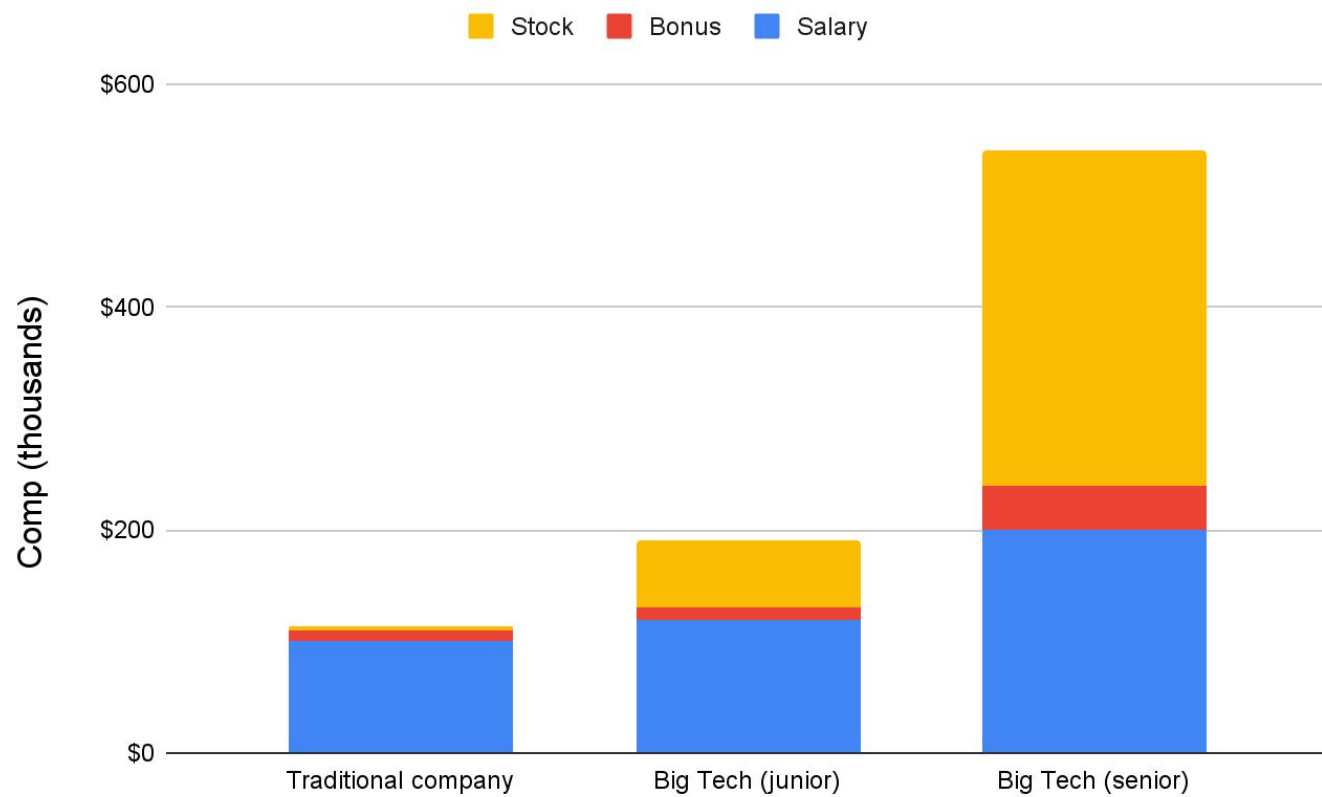
Importance Of Equity



Companies are more willing to give out equity:

- Not reflected in the P&L statement
- Less understood
 - fewer people ask about it
 - fewer people value it
 - more likely to get what you want





Rahul's point of view: ask for more equity

- Salary can cover living expenses
- More risk with equity → more reward
 - Possibility for 2x, 5x, or even 10x



Closing The Deal



Willing to sign the offer means
you've created leverage!



Tell the recruiter you're willing to
sign the offer immediately if they
can give you offer X , where X is
bit higher than the current offer.

"I'm eager to use my experience to have impact quickly at [Company].

“ ”

The offer becomes compelling for me if you can add a \$15,000 signing bonus.

I'd have no concerns at that point to join!"

Accepting or rejecting companies

- Be firm and direct, but kind and empathetic
- Ask for details in writing when possible
- Introduce artificial delay from pressure tactics:
 - *"I'll have to talk this over with my partner/parent/dog"*



Engaging With Recruiters

Ally, Not Antagonist



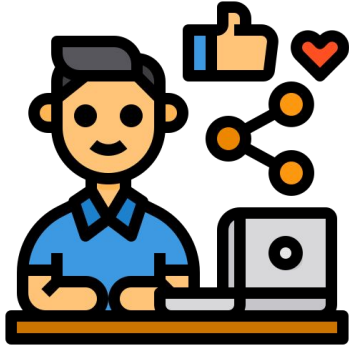
Recruiters can be a huge help

- Their job is to get qualified people to take the job
 - Job descriptions
 - Sourcing
 - Phone screens
 - Discussions
- Say thank you
- Show interest in the job



Recruiter relationship **goals**:

-  Share the interview format, types of questions, study tips
-  Advocate for you on internal compensation discussions



Recruiter relationship **non-goals**:

-  Unbiased information about which company to join
-  Understand what value you bring technically



Incentive alignment with the company

Unaligned

Aligned



Human resources

Recruiters

In-house recruiter

- Fully employed by the company
- **Less transactional**, more trust with candidate and company

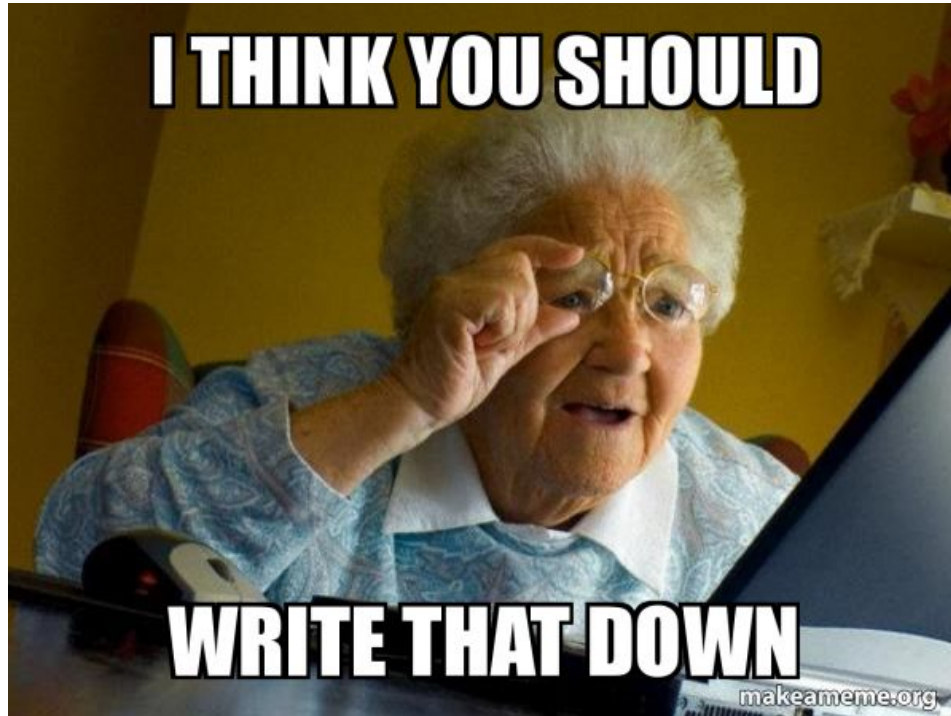
Contract (agency) recruiter

- External party paid to fill positions
- **More transactional**, commission earned based on placements

INCENTIVES



Prefer Async Communication



- Most people are bad at handling pressure
 - saying too much on a call
- Most of us want to please others



Don't speak too much

Recruiter

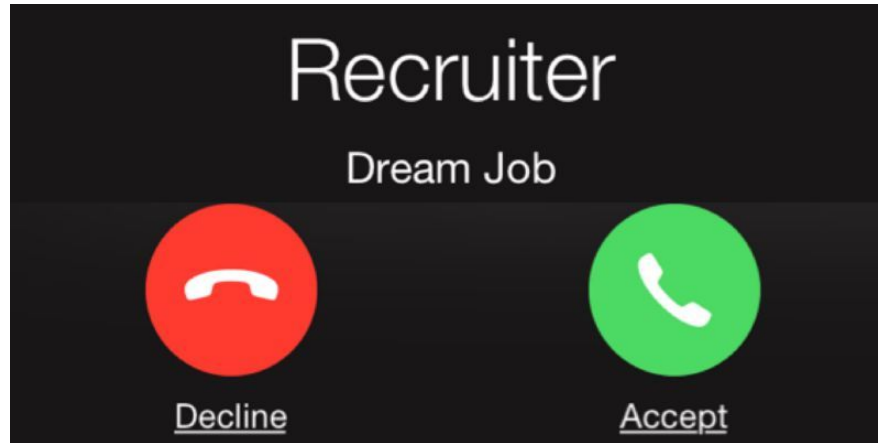
- Interview performance
- Company data points
- Industry data points
- Business need for the role
- Calls with 100s of candidates
and calibrating excitement level
- **Ability to read you on calls**

Candidate

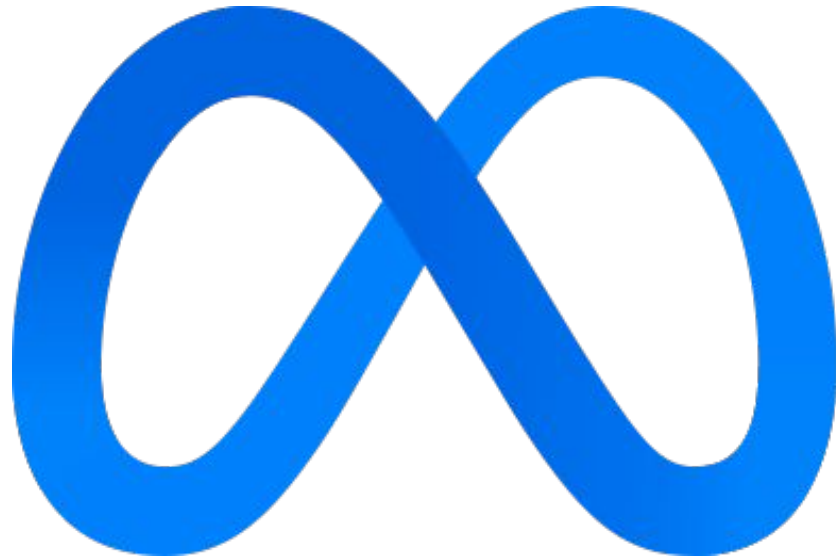
- Vibes 🕶️
- (Maybe) Data from other offers
or friends

Keep phone calls short

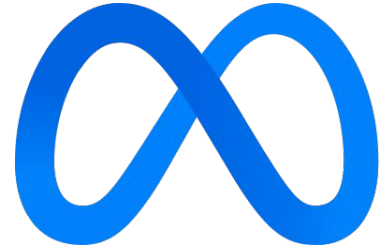
Be deliberate about emails and craft the message you want to send



Ex-Meta Recruiter



- Several years as a recruiter at **Facebook** (Meta) and **Pinterest**
-  *"I will sign the offer if you meet me here"*
 - Good if it's sincere
 - Be ready to explore/defend various options



Dealing with exploding offers

- Almost always fake
- Recruiters know that **“Time kills all deals”**
- Pushback: *“What’s the timing constraint? I spent several weeks interviewing.”*
- Recruiter will ask why you need more time



When things don't work out

- **Candidate rejection:** recruiter has maintained connections across years to hire that person later
- **Company rejection:** candidate can usually re-interview after 6 months - 1 year



Ex-Amazon Recruiter



- Several years as a recruiter at **Amazon** and **Uber**
-  *“Everyone should negotiate”*
- Salary negotiation should happen at the offer stage
 - Most recruiters won’t prevent you from shooting yourself in the foot
 - Amazon would “let go” unreachable candidates, e.g. Meta 



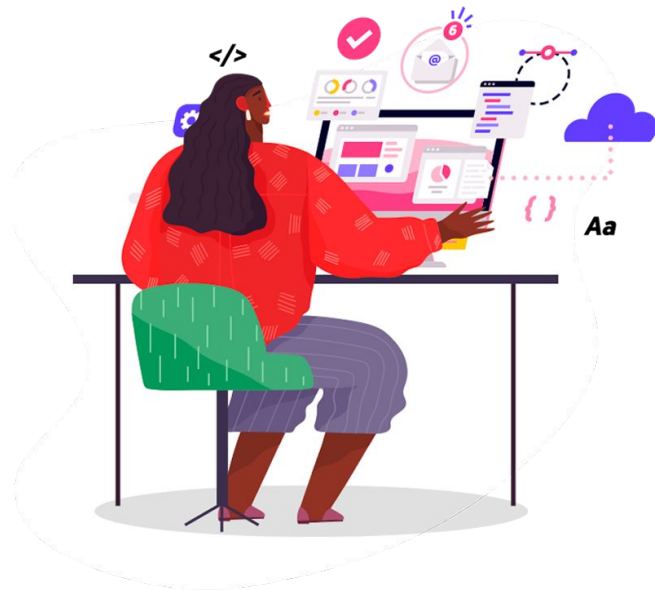
The dangers of getting starstruck

- Uber opened an office in LATAM
- No one negotiated – they were desperate to work at Uber



Women **SHOULD** negotiate

- More than men, women think negotiation will lead to backlash
- She never saw a woman engineer negotiate 😭
 - They even lowball themselves
- Be bold and find allies



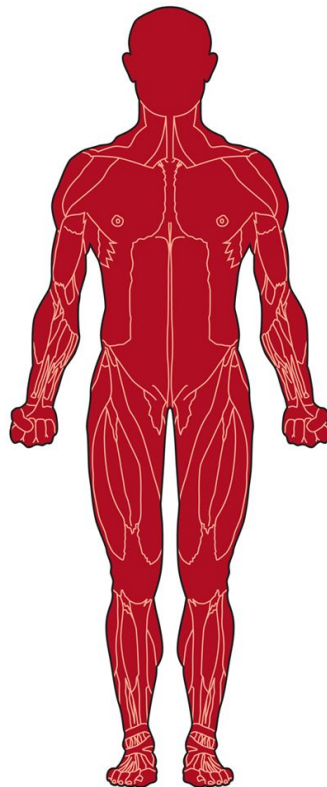
Specific Scenarios

Negotiating Your Current Salary



Negotiating your current comp is harder

- Can no longer sell on potential
- Fewer levers to adjust:
 - Salary
 - Equity
- Share market data or another offer
 - Be careful about the manager relationship



Tips

- Research if your company does counteroffers
 - Share details of another offer or *potential* of an offer
- Be strategic about timing
- Cite evaluations from company and self, quantify your impact



Negotiating With A Single Offer



BATNA is to stay at your current role (which may be **unemployed**)

→ You're in a weaker position

→ Discuss potential of other opportunities



Tips

- If you're employed, talk about what you're leaving behind
 - Bonuses
 - Unvested equity
- Use the '**Close the Deal**' tactic to squeeze out a signing bonus



Negotiating With An Exploding Offer

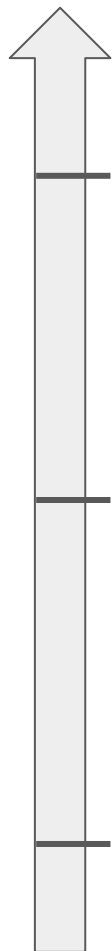


Exploding offers are negotiable

- But you should have backup options
- **Prevention:** share that you're considering other companies
- **Ask:** *"What's the timing constraint?"*

NEGOTIABLE

Requesting more time:



You'd like speak to someone with a particular background

"Could I have a quick conversation with someone who transitioned from a product engineer role to a research role?"

You're waiting for more data

"I did the onsite last week with X so I'm confident I can get back to you by mid next week. I want to make sure I can commit fully to your company."

"Can I have an extra 24 hours?"

You ask for extra time

Reneging An Offer

renege[verb]

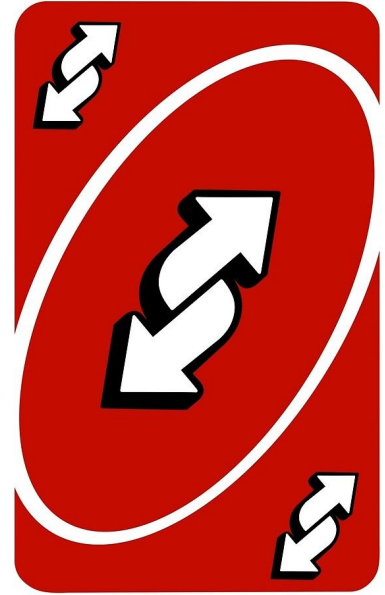


1. to deny; to disown; abandon (someone or something).
2. to revoke.
3. break a rule of (play).
4. to go back on a promise, undertaking, or contract: e.g. "What the administration wants is the right to renege on its commitments when it wishes."

Scenario: you accept an offer, but 2 weeks later you get a substantially better offer

Prevention is the best cure here.

Communicate with companies to avoid this from happening.



Reneging happens more often than you think

- Do what's best for you
- Employment is at-will

Minimize reputational damage:

- Share why the opportunity is special
- You'd love to work with the company later



Helpful Phrases

“ ”

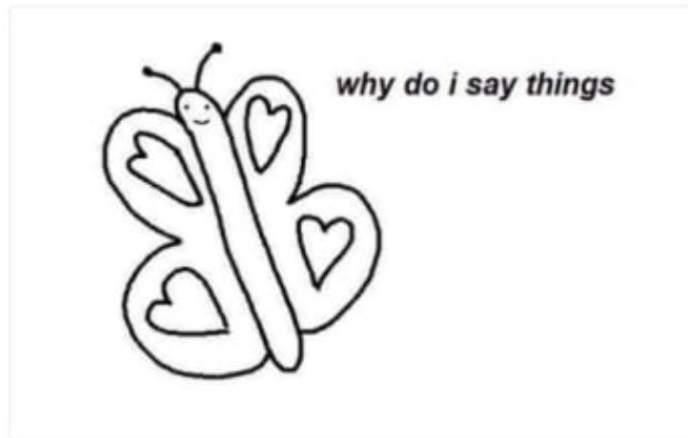
- Your phrasing matters a lot
- Choose your words wisely
 - Think about what is said **and** not said
 - Prefer async over synchronous communication
 - Don't apologize

Me: How you doing today

Customer: doing good how are you?

Me: Doing good how about yourself?

Me:



“Interesting.”

“”

Goals:

- Positive and non-committal response to updates
- E.g. offer numbers, team options, questions around fit

““

“Compensation is definitely important for me, but I care a lot about the people I work with and what I’m working on.

I want to do my best work in a company that values me.”

Goals:

- Communicate that money is important, but it’s part of a larger picture
- Increase chances of getting an interview

““

“At this time, I’m more interested in understanding the company and people rather than the compensation.

I’m sure we can work out the compensation if we think this is a mutual fit.”

Goals:

- Defer the compensation discussion
- Reinforce that other parts of the job are equally important as compensation

"I have a few other opportunities I'm in the process for, but if this is compelling enough I'm ready to commit."

“”

Goals:

- Create FOMO for the company
- Hinting that the company can grab you with a compelling offer

“That role wasn’t a great fit, so I’m exploring adjacent opportunities.”

“”

Goals:

- Graceful way to handle questions about a job rejection, layoff, or PIP
- Show that you’re in the driver’s seat

“My focus is to have tons of impact at the company and I want to take part in the success.”

“”

Goals:

- Graceful way to request more equity.
- Reinforce that you want to (and believe you can) have tons of impact at the company.

““

“This is a large decision and I want to commit fully to the job I end up choosing.

I want to do right by the company I join and build the next part of my career there.”

Goals:

- Graceful way to ask for more time when negotiating
- Reinterpret the time you're taking as a benefit for the company 😎

““

“If you could send over the offer, I’d love to take a look in more detail.

I’m chatting with my partner about the job stuff so I should be able to give you an update after that.”

Goals:

- Graceful way to ask for more time when negotiating
- Show that you’re still waiting on data from others

Conclusion

Life After Joining



Careers are long

- The hard work happens once you join the company
- Careers + reputations get built up during your time at the company



Measure your growth + happiness

Base salary

Equity (Stock)

Signing Bonus

Performance bonus

401k matching

Paid Time Off (PTO)

Health Insurance

Fitness stipend

Catered meals

Free snacks

Equipment

L&D budget

Commute credit

Game room

Casual dress

Company outings

People

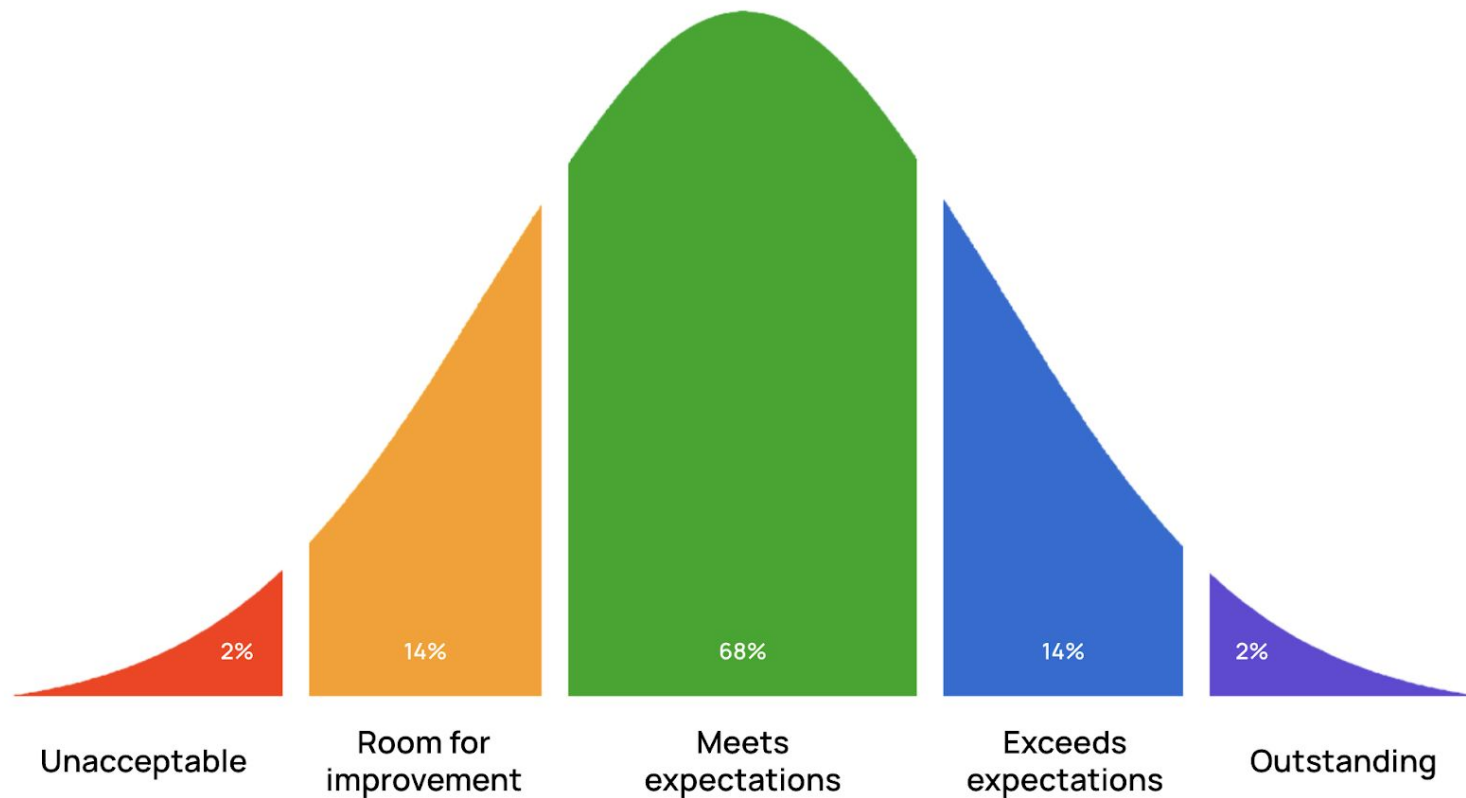
Learning

Culture

- How will your performance be evaluated?
- Create an onboarding doc
- What is typical for refresh grants and bonuses?



Understand comp adjustments



Follow Through, Share Learnings



Negotiation is extremely high leverage

Negotiate the whole compensation package

Don't share information which can hurt you (e.g. salary)

Negotiate when you have an offer

Struggling Negotiator

- Shares their salary immediately
- Interviews with one company at a time
- Accepts the first offer given
- Doesn't talk to friends/colleagues
- Isn't able to push back or ask for more

Negotiation Pro

- Careful about what info to reveal
- Interviews with many companies at once
- Has leverage to increase the initial offer
- Well-connected with other tech friends
- Handles conversations gracefully and firmly

What next?

- Share outcomes of your negotiation
- Get support: joinTaro.com/questions/create/
 -  Get 10x better advice than anything on Blind or Reddit
- Find community: joinTaro.com/events/
 -  Join me for Group Office Hours!

thank you 

team+negotiation@jointaro.com